

Wealthy people will move to jurisdictions which don't enforce the taxes, or they will simply cease to work at all.

The solution is not to persecute the wealthy, but to reduce the cost of a good life. This means developing the economy of abundance, in which the prices of all the goods and services that you need for a very good standard of living are very low. Then the transfers from the wealthy need not be onerous – and avoided.

This does sound crazy when you first hear it, but if you think about the music industry, you can see how it



could happen. Twenty years ago, not even a rich person could listen to any piece of music which took their fancy. Now it costs \$10 a month, thanks to Spotify and similar services. Music, of course, is now digital, so it is dematerialised and non-rivalrous, as economists say. But more and more of what we value these days is digital, and this trend will continue. In another decade or so, many of us will probably spend hours at a time in virtual realities.

FULLY AUTOMATED LUXURY CAPITALISM

What form of economic and political governance will best suit this post-jobs world? Some have argued for a version of communism, called fully automated luxury communism. While



this approach deserves credit for facing up to the exponential future, it overlooks two important facts. First, it is no coincidence that wherever communism has been tried, it has degenerated into some of the worst regimes the world has ever seen. Communism grants absolute power to a ruling elite, and we all know what absolute power does to people.

The other fact is the astonishing power of markets. Markets incentivise people and firms to provide goods and services that are genuinely valued, and to do it efficiently. Allied with technology, free markets (with appropriate welfare safety nets, and with regulation to ensure that markets are not suborned) have made this the best time ever to be a human. Technology provides potential solutions to problems, and markets provide the incentive for people to develop and invest in those solutions. This is how China has gone from backwater to superpower in a single generation.

Even in the abundance economy, it will be a very long time before we have the technology to build the matter replicators found on Star Trek's USS Enterprise, so goods and services will impose a residual cost. And as long as we are human, we will also face shortages of things like attention, artisanal goods, and works of art. Markets are the best system we know of for resource allocation, so to start with at least, the optimal system for the economy of abundance is likely to be a form of capitalism: let's call it "fully automated luxury capitalism".

In fully automated luxury capitalism, people would continue to trade and innovate. Fortunes (and also more modest wealth) would continue to be made by creating art, artisanal goods, and other forms of intellectual property. Even when AIs can create objects more beautiful than the ablest human craft worker, there could well be a premium attached to items which are "made by hand". Judiciously trading scarce assets such as beach-front properties, and original Aston Martin DB5s could remain another source of wealth and income.

But not everyone will be able to or inclined to participate in this reduced commercial world. The three central insights underpinning the idea of fully



automated luxury capitalism are (1) that most humans will not have jobs, (2) that everybody must be wealthy – or at least comfortable rather than poor, and (3) that the taxes levied on wealthy people and organisations must be affordable. The only way to achieve this is to drive prices down – to evolve the economy of abundance.

If we can achieve the economy of abundance, then we should be thankful that humans are not condemned to



do jobs forever, because although some people love their jobs, plenty of research shows that most people don't. Many people will take time to adjust, and some will need help, but a post-jobs world could be one in which humans do whatever we want to. We could have a second Renaissance. The Reverse Luddite Fallacists are not only probably wrong – they are also profoundly pessimistic.

CLOTHIFY AND CONSTRUCTIFY

Is the economy of abundance possible?